

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think> To find the profit , we first need to determine the total cost Josh incurred , which includes the initial cost of the house and the cost of the repairs . Then we calculate the new value of the house after the repairs and see how much it increased by . The profit is the difference between the new value and the total cost .

The initial cost of the house is \$80,000 . The cost of repairs is \$50,000 . The total cost is :

$$\backslash[80,000 + 50,000 = 130,000 \backslash]$$

The value of the house increased by 150% , which means the increase is 150% of the original value .

Let 's denote the original value of the house by $\backslash(V \backslash)$. The new value of the house is :

$$\backslash[V + 1.5 V = 2.5 V \backslash]$$

We know the original value $\backslash(V \backslash)$ is \$80,000 . So , the new value of the house is :

$$\backslash[2.5 \times 80,000 = 200,000 \backslash]$$

The profit is the new value minus the total cost :

$$\backslash[200,000 - 130,000 = 70,000 \backslash]$$

</think>

<answer>70000 </answer>

